

important for larger players who cannot operate under the potential volatility of variable borrow rates.

Finally, credit delegation allows users to unlock the value of supplied collateral in novel ways, including through traditional markets and contracts and even via additional layers of smart contracts that charge a premium rate to compensate for risk. Credit delegation allows loan providers to take their own collateral in the form of non-fungible Ethereum assets, perhaps tokenized art or real estate not supported by the main Aave protocol. As Aave continues to innovate, the platform will continue to amass more liquidity and cover a wider base of potential use cases (Table 6.3).

Table 6.3 Problems That Aave Solves

Traditional Finance Problem	Aave Solution
<i>Centralized control:</i> Borrowing and lending rates controlled by institutions.	Aave interest rates are controlled algorithmically.
<i>Limited access:</i> Only select groups have access to large quantities of money for arbitrage or refinancing.	Flash loans democratize access to liquidity for immediately profitable enterprises.
<i>Inefficiency:</i> Suboptimal rates for borrowing and lending due to inflated costs.	Algorithmically pooled and optimized interest rates.

(Continued)